

Montage Technology (688008.SS)

Strong 2Q26 Results, Share Repurchase May Help Stabilize Share Volatility

CITI'S TAKE

Montage announced on July 16 [preliminary 1H26 results](#) with strong 2Q26 net profit in the range of Rmb1,053-1,253mn (66%-98% YoY growth), at 37%/42% above consensus/Citi est. driven by higher revenue scale, GPM expansion, and investment gains. Revenue grew 33% YoY to Rmb1,874mn, at 6%/11% above consensus/Citi est., with interconnect chips revenue growing 28% YoY (+20% QoQ) to Rmb1,694mn. Shipment of DDR5 RCD continues to grow, with Gen 3 and Gen 4 portion further expanded. MRCD/MDB, PCIe retimer, CXL sales notably increased. Montage-A/H share plunged 16%/23% on July 16 after news of Korean prosecutors raiding offices of Montage, Renesas, and Rambus over suspicion of price-fixing collusion (Chosun, [July 15](#)). While the investigation is ongoing and could cause further share volatilities, we believe the strong 2Q26 pre-announce and Montage mgmt. announcement for a [Rmb300-600mn Montage-A share repurchase plan](#) should help stabilize the share price.

Buy

Price (16 Jul 26 15:00)	Rmb211.130
Target price	Rmb245.000
Expected share price return	16.0%
Expected dividend yield	0.3%
Expected total return	16.3%
Market Cap	Rmb241,694M
	US\$35,704M

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Figure 1. Montage – 2Q26 Preliminary Results vs. Estimates

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26				
(Rmb mn)						Prelim	BBG	Diff	Citi est	Diff
Revenue	1,222	1,411	1,424	1,399	1,461	1,874	1,773	6%	1,682	11%
YoY %	66%	52%	57%	31%	20%	33%	26%		19%	
Gross Profit	739	853	902	902	1,019		1,215		1,130	
GPM	60.4%	60.4%	63.3%	64.5%	69.8%		68.5%		67.2%	
Opex	(278)	(349)	(575)	(353)	(343)		(435)		(366)	
Opex %	22.7%	24.8%	40.3%	25.3%	23.5%		24.5%		21.8%	
EBIT	461	503	328	548	677		781		763	
EBIT margin	37.7%	35.7%	23.0%	39.2%	46.3%		44.0%		45.4%	
Pre-Tax Profit	531	655	507	628	877		902		864	
Net Profit	525	634	473	603	847	1,153	842	37%	812	42%
YoY %	135%	71%	23%	39%	61%	82%	33%		28%	
EPS (Rmb)	0.46	0.55	0.41	0.53	0.69		0.67		0.66	

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Source: Company Reports, Bloomberg, Citi Research Estimates

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Bull/Bear: Montage Technology

Rmb **281.000**
▲ 33% Upside

Rmb **245.000**
▲ 16% Upside

Rmb **143.000**
▼ 32% Downside



Spread 65pp
Current Price and expected returns (upside/downside) as of 16 Jul 2026

BULL Assumptions

- Revenue growth of 35%/38% in 2026E/27E
- Net profit growth of 60%/40% in 2026E/27E
- 65x 2027E P/E valuation (2SD above 5-year average)

BASE Assumptions

- Revenue growth of 31%/38% in 2026E/27E
- Net profit growth of 50%/40% in 2026E/27E
- 60x 2027E P/E valuation (1.5SD above 5-year average)

BEAR Assumptions

- Revenue growth of 26%/24% in 2026E/27E
- Net profit growth of 32%/24% in 2026E/27E
- 45x 2027E P/E valuation (5-year average)

Montage Technology

Valuation

Our target price of Rmb245 is based on 60x 2027E P/E, at 1.5SD above its 5-year average. We believe the valuation is justified given Montage's improving product mix (DDR5 Gen 3 surpassing Gen 2) and growing contribution from new AI-driven connectivity solutions (MRDIMM, CXL), with demand upside coming from agentic AI and inferencing. The company should continue to benefit from China's increasing semiconductor localization in the coming few years.

Risks

Key downside risks to our target price include: 1) AI infrastructure capex slowdown, 2) market share loss if international customers shift away from Chinese suppliers; 3) rising SOCAMM / LPDDR adoption in servers that reduces memory interface demand, 4) delayed product migration (DDR5 sub-gen) and development (PCIe switch, CXL switch).

Montage Technology

(6809.HK; HK\$278.6; 1; 16 Jul 26; 16:10)

Valuation

Our target price for Montage-H is set at HK\$305 based on 66x 2027E P/E, at 10% premium to our Montage-A share target multiple. We view Montage-H a rare opportunity for international investors to invest in both China and global AI data center expansion. Such quality name with strong AI-thematic has gained strong traction from international investors and resulted in an unusual H-share premium over its A-share counterpart.

We believe the valuation is justified given Montage's improving product mix (DDR5 Gen 3 surpassing Gen 2) and growing contribution from new AI-driven connectivity solutions (MRDIMM, CXL), with demand upside coming from agentic AI and inferencing. The company should continue to benefit from China's increasing semiconductor localization in the coming few years.

Risks

Key downside risks to our target price include: 1) AI infrastructure capex slowdown, 2) market share loss if international customers shift away from Chinese suppliers; 3) rising SOCAMM / LPDDR adoption in servers that reduces memory interface demand, 4) delayed product migration (DDR5 sub-gen) and development (PCIe switch, CXL switch).

Citi's quant system rates Montage-H high-risk given its short trading history. We view Montage's fundamentals remain strong and expect solid AI-driven revenue/earnings momentum in the coming years. As such, we do not assign a High-Risk rating to Montage-H.

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Appendix A-1

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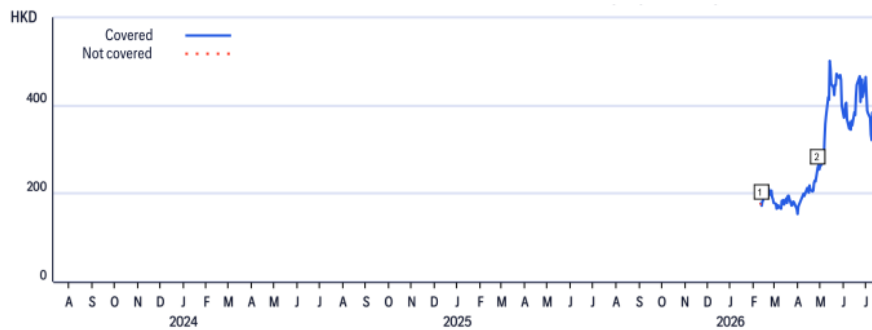
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Montage Technology (6809.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Kevin Chen



Date	Rating	Target Price	Closing Price
10-Feb-26 04:59:21	*1	*205.00	178.00

*Indicates Change

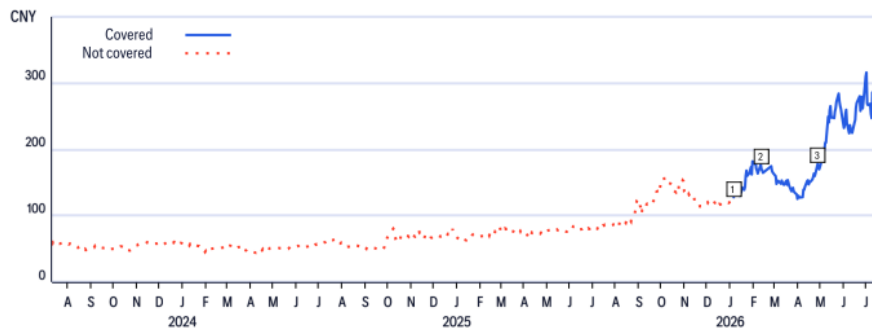
Date	Rating	Target Price	Closing Price
27-Apr-26 18:12:40	1	*305.00	259.20

Rating/target price changes above reflect Eastern Time

Montage Technology (688008.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Kevin Chen



Date	Rating	Target Price	Closing Price
05-Jan-26 16:00:18	*1	*170.00	127.75

*Indicates Change

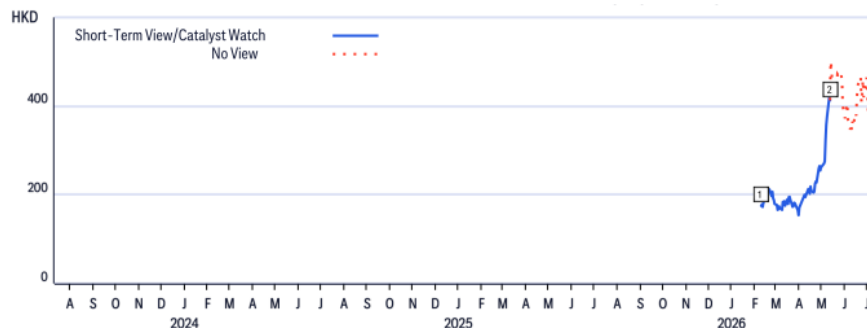
Date	Rating	Target Price	Closing Price
10-Feb-26 04:59:21	1	*205.00	177.50

Date	Rating	Target Price	Closing Price
27-Apr-26 18:12:40	1	*245.00	178.09

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Montage Technology (6809.HK)
Short-Term View/Catalyst Watch Research

Analyst: Kevin Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	09-Feb-26 23:59:21	Add CW	Upside	90 Days	175.00

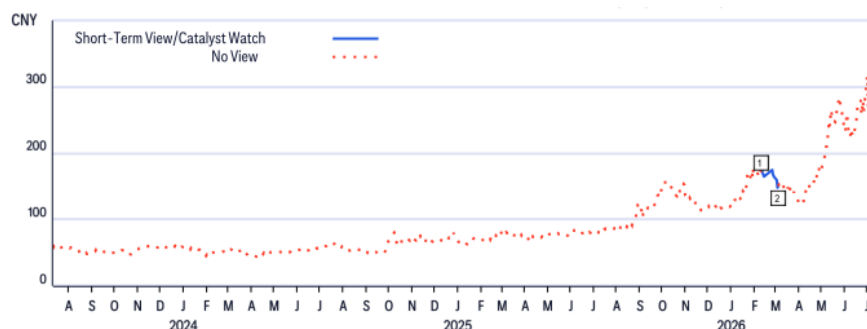
	Date	Action	Expected Direction	Duration	Closing Price
2	12-May-26 00:13:10	Remove CW	Upside	90 Days	413.00

CW - Catalyst Watch, STV - Short-Term View

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Montage Technology (688008.SS)
Short-Term View/Catalyst Watch Research

Analyst: Kevin Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	09-Feb-26 23:59:21	Add CW	Upside	90 Days	173.45

	Date	Action	Expected Direction	Duration	Closing Price
2	04-Mar-26 01:14:39	Remove CW	Upside	90 Days	150.31

CW - Catalyst Watch, STV - Short-Term View

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